

OVER 17 MONTHS and counting. That's how long members of the Employees' Pension Scheme (EPS) have been waiting to see the implementation of the November 2022 Supreme Court ruling on higher pension. While they still have hope, there is little clarity on when the apex court's ruling will be implemented by the Employees' Provident Fund Organisation (EPFO), which has been processing hundreds of thousands of application forms.

In all, the EPFO had received 1.75 million applications for higher pension. This includes about 410,000 applications from pensioners who had retired before September 1, 2014, and another 1.34 million from members under the joint option (where their salaries exceeded the cap of ₹15,000). By December 2023, about 1.17 million applications were still at various stages of validation by employers and it is unclear how long it will take to process these. EPFO, the retirement fund manager, had also sent out more than 42,000 demand notices for additional payment by members opting for higher pension to deposit funds to meet payments for past dues. "The first leg of the process—submitting applications—is now over. The EPFO is understood to be processing these applications. Members whose applications are found in order in all respects should hear about the amount to be transferred from the EPF account to the EPS sometime soon, if [they have] not heard so far," says Kuldeep Kumar, Partner with tax consulting firm Mainstay Tax Advisors.

But on the ground, there has been little progress, leaving many pensioners and subscribers—as well as employers—with an uncertain future. "The delay in implementation with regard to the post September 1, 2014, cases has been very long and many pensioners are suffering because of this. Some have passed away in the interim without getting the benefit," says pension activist Parveen Kohli. He claims that the method of calculation of higher pension for these retirees has led to the quantum of pension being reduced substantially and many petitions have been filed in the high courts over this.

Kumar notes there may be old records involved, and it needs to be seen how these applications would be disposed of for discrepancies. "There might even be cases where employers could not validate and verify the old records in the absence of details," he says, adding that he has seen cases where employees changed jobs and their accumulated PF was not transferred to their new account, or where employees lack complete details; now those employers have shut their businesses or have been taken over by other firms. "EPFO should provide some help to such employees or even consider alternative methods of verification," he says.

Several companies and employers' associations have

DECODING EPS 1995

- ▶ **THE EMPLOYEES' PENSION SCHEME 1995 PROVIDES FOR A MONTHLY PENSION OF AT LEAST ₹1,000 TO MEMBERS ON RETIREMENT, DEATH, OR DUE TO DISABILITY**
- ▶ **MEMBERS RETIRING AT THE AGE OF 58 WITH A WAGE CEILING OF ₹15,000 PER MONTH ARE ELIGIBLE FOR PENSION AFTER 10 YEARS OF SERVICE**
- ▶ **ON CESSATION OF EMPLOYMENT BEFORE 58 YEARS OF AGE, MEMBERS CAN GET AN EARLY PENSION AFTER 50 YEARS OF AGE**
- ▶ **EMPLOYEES AND EMPLOYERS CONTRIBUTE 12% EACH OF THE BASIC WAGES UP TO ₹15,000 PER MONTH TO THE EPFO**
- ▶ **OF THE EMPLOYER'S CONTRIBUTION OF 12%, 8.33% GOES TO THE EPS AND 3.67% GOES TO THE EPF; THE GOVERNMENT PAYS 1.16% OF THE BASIC WAGES AS A CONTRIBUTION TO THE EPS AS SUBSIDY**

